future markets; and SEBI regulates the future market while a specialized gold regulator regulates the spot market. The optimal arrangement would probably be a specialized gold regulator who regulates both the spot and future markets.

This platform will incentivize trading across the country based on a nationwide vaulting infrastructure network, with significant benefits of greater formalization of the gold economy. Gradually, the IGE can also allow trading of other precious metals like silver and platinum, and commodities currently under the jurisdiction of the Central government. Necessary market infrastructure arrangements like clearing and settlement institutions can be made, leveraging on existing market infrastructure for the equity, bonds and derivative markets.

Efficient and functional market infrastructure for gold storage, delivery, purification, standardization and pledging are sorely lacking in the country. Making gold a financial asset and development of an efficient exchange would require enormous investment in building market infrastructure. A bullion bank facilitates gold trading, borrowing and lending; overdrafts; vaulting; hedging; inventory or consignment management; broking and futures trading; collateral management; swaps; precious metals research; mine or project finance and physical precious metals distribution/logistics. Specialized banks like payments banks have been established by RBI. Likewise, a few bullion banks should be developed, either as specialized banks or existing banks and non-banks being given such licences.

Currently, SEBI regulates bullion vaults by laying down guidelines for custodial services with regard to securities, including for gold derivatives. The regulation of warehouses and extension vaults is actually the responsibility of the Warehouse Development and Regulatory Authority of India (WDRAI) under the Warehouse (Development & Regulation) Act, 2007. The gold regulator should be provided with the authority to develop and regulate bullion vault infrastructure in the country.